AQR Alternative Trends Strategy

July 2023 Monthly Update

Strategy Overview

- Provides exposure to alternative assets that are harder to access and lower capacity than traditional markets
- Applies a long-short trend-following approach to these novel markets, such as non-index commodities (e.g., Malaysian palm oil, European power) and proprietary equity factor portfolios (e.g., Value, Momentum)
- Offers convexity-enhancing return profile: exhibits strong performance during large equity drawdowns
- Targets 14% ann. volatility, with little or no correlation to equity markets and other traditional investments

AQR Alternative Trends Composite Net Returns

January 1, 2018 – July 31, 2023

	Alternative Trends Composite (Net)	SG Trend Index	Cash
July 2023	-2.1%	-1.6%	0.4%
Q2 2023	12.9%	8.0%	1.2%
2018	-7.2%	-8.1%	1.9%
2019	14.5%	9.2%	2.3%
2020	20.8%	6.3%	0.7%
2021	6.9%	9.1%	0.0%
2022	49.1%	27.3%	1.5%
2023 YTD	7.7%	-1.4%	2.7%
1 Year	21.4%	1.8%	4.0%
3 Year (Ann.)	21.7%	12.5%	1.4%
5 Year (Ann.)	17.6%	9.2%	1.6%
Since Inception (Ann.)	**15.2%**	**7.0%**	**1.6%**
Since Inception (Cum.)	**120.5%**	**46.1%**	**9.3%**
Realized Volatility	**13.6%**	**12.3%**	
Sharpe Ratio	**1.00**	**0.44**	
Correlation to SG Trend	**0.64**	**1.0**	
Correlation to Global 60/40	**-0.24**	**-0.16**	

Source: AQR, Bloomberg. There is no guarantee, express or implied, that long-term volatility targets will be achieved. Realized returns and or volatility may come in higher or lower than expected. Performance for the most recent month end is estimated and subject to change. All performance represent preliminary unaudited estimates of net realized and unrealized returns and are in USD unless noted otherwise. Simulated net returns are net of a 1.5% management fee and 20% performance fee (over ML 3 Month T-bill hurdle) per annum. Cash is the ICE BofA US 3-Mo T-Bill Index. The Global 60/40 portfolio has 60% of the portfolio invested in the MSCI World Index and 40% invested in the Barclays Global Aggregate Bond Index. Diversification does not eliminate the risk of experiencing investment losses. "Expected" or "Target" returns or characteristics refer to expectations based on the application of mathematical principles to portfolio attributes and/or historical data, and do not represent a guarantee. These statements are based on certain assumptions and analyses made by AQR in light of its experience and perception of historical trends, current conditions, expected future developments and other factors it believes are appropriate in the circumstances, many of which are detailed herein. Other discretionary portfolios that trade similar securities and/or strategies as those portfolios included in this composite, but do not meet this composite's strategy criteria, are excluded from this composite and reside in one or more separate composites, which are available upon request. Changes in the assumptions may have a material impact on the information presented. Past performance is not a reliable indicator of future results. Please read important disclosures.

Net Performance Attribution

January 1, 2023 – July 31, 2023

	July 2023	Q2 2023	2023 YTD
Equity Factors	-1.0%	0.5%	-3.9%
Interest Rate Swaps	-0.1%	2.3%	0.4%
Yield Curve	-1.3%	7.7%	8.4%
Alternative Commodities	0.5%	0.5%	3.2%
Emerging Currencies	-0.5%	1.1%	0.1%
Digital Assets	0.0%	-0.1%	-1.3%
Credit	0.2%	0.2%	0.1%
Volatility	0.1%	0.6%	0.6%
Total Return	**-2.1%**	**12.9%**	**7.7%**

Differentiators

Access to a diversified set of alternative assets, including proprietary equity factor portfolios

Research process involves extensive collaboration across specialized teams

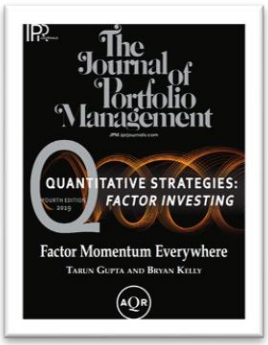
Experience in alt markets, with proprietary OTC and electronic trading infrastructure

Thoughtful approach to managing counterparty risk and risks within less liquid and OTC markets

Designed to be diversifying to traditional portfolios as well as existing managed futures allocations

Alternative Trends Research

AQR's approach to investing in alternative assets is grounded in the practical application of decades of trend-following research and development. Our research is continuous – as we develop new ideas, these are vetted and added to our investment models. Please see below for a selection of relevant research.



Source: AQR. Performance in USD. Net returns are net of a 1.5% management fee and 20% performance fee (over 3 Month T-bill hurdle) per annum and in USD. Performance for the most recent month end is estimated and subject to change. The attribution data shown for the Alternative Trends Strategy is from a representative account. The representative account was selected as it has the longest track record in the composite. The representative account may not be representative of all Alternative Trends portfolios AQR manages. Net attribution is calculated by allocating fees using strategic risk weights and with each component's return divided by sum of total returns for the portfolio. Fees and expenses are not charged to individual investments/sub-strategies, and net attribution is provided for illustrative purposes only to meet regulatory requirements. Different calculation methodologies can result in materially different net returns. Please refer to the AQR Alternative Trends Strategy's net performance, which best represents the net performance an investor would have received if they had invested in the AQR Alternative Trends Strategy for the periods shown. Attribution is subject to change at any time without notice. Past performance is not a reliable indicator of future performance. Please read important disclosures in the Appendix.

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The MSCI World Index is a free float-adjusted market capitalization weighted index that is designed to measure the equity market performance of developed markets.

The SG Trend Index is designed to track the largest 10 (by AUM) CTAs and be representative of the managed futures trend-following space.

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Asia

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Other discretionary portfolios that trade similar securities and/or strategies as those portfolios included in this composite, but do not meet this composite's strategy criteria, are excluded from this composite and reside in one or more separate composites, which are available upon request.

Disclosures

Calculation Methodology: All portfolios are valued daily, weekly, intra-monthly or monthly as defined by Firm policy. The Modified Dietz calculation methodology is used when calculating monthly and intra-month returns. Mutual funds and UCITS are valued daily and performance is calculated on a daily basis. Gross of fees returns are calculated gross of management and performance fees, administrative and custodial costs, and net of transaction costs beginning January 1, 2010. Prior to January 1, 2010, gross of fees returns are gross of management and performance fees, and net of administrative, custodial, and transaction costs. Additional information regarding fees and the calculation of gross and net performance is available upon request.

The dispersion measure is the equal-weighted standard deviation of accounts in a composite for the entire year and is calculated using gross returns. Dispersion is not considered meaningful for periods shorter than one year or for periods during which a composite contains five or fewer accounts for the full period. The three-year annualized ex-post standard deviation measure is calculated using gross returns and is inapplicable when 36 monthly returns are not available.

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AQR Capital Management, LLC
Alternative Trends Composite
January 1, 2018 – December 31, 2022

Year	Gross Return %	Net Return %	Benchmark * Return %	Number of Portfolios	Composite 3-Yr StDev %	Benchmark * 3-Yr StDev %	Composite Assets ($M)	Total Firm Assets ($M)
2018	-5.74	-7.15	1.87	1	N/A	N/A	11.82	193,554.78
2019	16.81	14.52	2.28	1	N/A	N/A	54.94	185,575.93
2020	27.64	20.75	0.67	1	14.14	0.27	172.82	139,714.13
2021	10.25	6.91	0.05	1	14.19	0.32	310.49	123,007.08
2022	63.37	49.12	1.46	1	14.95	0.34	343.77	93,980.30

*ICE Bank of America ML US 3-Month Treasury Bill Index
Net Return calculated based on 1.50% management fee and 20.00% performance fee (over Benchmark hurdle) per annum

Composite Description: The Alternative Trends Composite (the "Composite") was created in January 2018. The investment objective of the Composite strategy (the "Strategy") is to achieve positive long-term returns through an active trend-following strategy applied to a diversified set of alternative assets. The underlying instruments of the strategy include but are not limited to credit default swap indices, developed and emerging interest rate swaps, emerging currencies, commodities that are not included in the major indices, volatility instruments, and equity factor portfolios. The Strategy is expected to exhibit little or no correlation to equity markets and other traditional investments and a moderate but diversifying correlation to traditional trend-following strategies. Accounts included pursue an ex-ante target volatility of 14% per annum, which is subject to change on a near term basis to best accommodate changing market conditions. The Composite is denominated in USD.

The Composite strategy uses derivatives, such as futures, forwards, and swaps, primarily to obtain exposure to markets, both long and short. The derivatives employed in the Strategy contain embedded economic leverage as the margin required to hold the contract is less than the notional economic exposure of the underlier. In addition, the Strategy may employ leverage through prime brokerage. In both cases, leverage is employed to increase the overall volatility of the Strategy to the desired level. Leverage will vary over time based on market conditions, risk environment, assets traded, and opportunity set. Additionally, the Strategy may use shorting and derivatives to hedge unwanted market exposure gained from portfolio holdings, such as exchange rate risk embedded into security holdings.

Benchmark: The Composite benchmark is the ICE Bank of America ML US 3-Month Treasury Bill Index (the "Benchmark"). The Benchmark measures the rate of return an investor would realize when purchasing a single U.S. 3-month treasury bill, holding it for one month, selling it, and rolling it into a newly selected issue at the beginning of the next month. The investments in the Composite vary substantially from those in the Benchmark. The index has not been selected to represent an appropriate benchmark to compare an investor's performance, but rather is disclosed to allow for comparison of the investor's performance to that of a certain well-known and widely recognized index.

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